

If we are unaware of our major goals, as is the case with many young people in their 20s, then we will invest the amount for general portfolio growth and when the goals become clearer, we will re-allocate the funds accordingly. This can also be done for those who have extra resources even after planning for all their goals.

For this, we follow a very simple approach to allocating between debt and equity. 100 minus current age will determine the percentage of assets that should go in equity while the rest in debt. So, if someone is 24 years old, 76% of the amount should go in equity-related funds and 24% shall go in debt-related funds. At the same time, if someone is 64 years old, they should invest 64% in debt and 36% in equity related funds. However, this is only suitable for general portfolio growth.

With this, our base plan is ready. We have created a base plan only using mutual funds and it is good to meet almost any financial goal. However, most people will not be comfortable with having only financial assets in the portfolio. As a result, we will add other asset classes in the base plan based on our comfort. Also, we will go through each element of the canvas and make adequate improvisations to the Lazy Financial Plan.

